

Replacement Cost or Actual Cash Value?

When buying insurance, it's a good idea to buy coverage for replacement cost rather than actual cash value. Replacement cost coverage is just what it sounds like: if something you own is stolen or damaged by fire or water, the insurance company will pay you what it will cost to replace it with an item of similar quality. Actual cost value coverage assumes that your belongings lose value with time and usage, and pays you only the depreciated value of the items.

Deductibles

The deductible is the amount you agree to pay out of your pocket before the insurance company covers the rest of your loss. The higher the deductible is the less expensive the insurance. When choosing a deductible, you're deciding how much risk you're willing to take and balancing risk and cost. Most property deductibles are between \$250 and \$500 per year.